government, the landlord and the moneylender. This placed him at the mercy of the grain merchant, who was in a position to dictate terms and who purchased his produce at much less than the market price. Thus a large share of the benefit of the growing trade in agricultural products was reaped by the merchant, who was very often also the village moneylender.

The loss and overcrowding of land caused by de-industrialisation and lack of modern industry compelled the landless peasants and ruined artisans and handicraftsmen to become either tenants of the moneylenders and zamindars by paying rack-rent or agricultural labourers at starvation wages. Thus the peasantry was crushed under the triple burden of the government, the zamindar or landlord, and the moneylender. After these three had taken their share not much was left for the cultivator and his family to subsist on. It has been calculated that in 1950–51 land rent and moneylenders' interest amounted to Rs 1400 crore or roughly equal to one-third of the total agricultural produce for the year. The result was that the impoverishment of the peasantry continued along with an increase in the incidence of famines. People died in millions whenever droughts or floods caused failure of crops and scarcity.

Ruin of Old Zamindars and Rise of New Landlordism

The first few decades of British rule witnessed the ruin of most of the old zamindars in Bengal and Madras. This was particularly so with Warren Hastings' policy of auctioning the rights of revenue collection to the highest bidders. The Permanent Settlement of 1793 also had a similar effect in the beginning. The heaviness of land revenue—the government claimed ten-elevenths of the rental—and the rigid law of collection, under which the zamindari estates were ruthlessly sold in case of delay in payment of revenue, worked havoc for the first few years. Many of the great zamindars of Bengal were utterly ruined and were forced to sell their zamindari rights. By 1815 nearly half of the landed property of Bengal had been transferred from the old zamindars, who had resided in the villages and who had traditions of